Though your salary is limited and you are still settling in your career, remember that your mandatory expenses are also extremely limited at this age. You hardly have any responsibilities, except managing yourself, thus giving you an opportunity to leverage the immense potential of time lever in your hand, and start investing.

This is the age where you should start moving towards volatile investments. Invest in relatively highly rewarding investment options like Equity Mutual Funds via SIPs, Debt based Mutual Funds etc. Feel free to expand the % of your equity allocation to as high as 75% of your total investments at this age. If you already have a PPF account in your name through your parents, get it fully transferred in your name and start investing in PPF. This will also enable some contribution going towards your Section 80C investments and thus save income tax for you. In all probabilities, you would automatically start contributing to your EPF kitty. That will also contribute towards your Section 80C investments. Start investing small amounts in Gold to hedge against inflation. Make sure you regularly invest in these investment tools to ensure that your asset allocation of your portfolio stays balanced at most times. Keep monitoring your portfolio performance regularly to stay on track.

Figure 6.2 below shows the typical portfolio asset allocation for an earning seeker in this age group

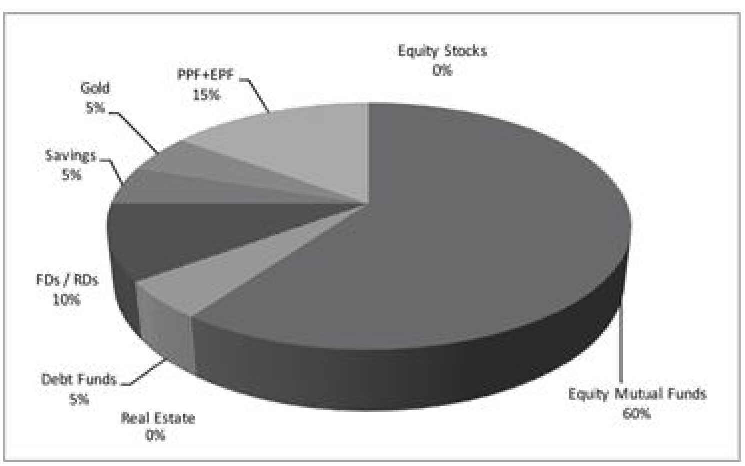

Fig 6.2 : *Typical Portfolio Asset Allocation for age group 18 to 25 years*